ADDENDUM 4 - PROJECT DEVELOPMENT AND ASSESSMENT GUIDE FOR SHORE PROGRAM OBJECTIVE MEMORANDUM, FISCAL YEAR (FY) 2026: FY25 UNSPECIFIED MINOR MILITARY CONSTRUCTION (UMC) BOARD, FY25 LABORATORY REVITALIZATION PROGRAM (LRP), AND REVITALIZE DEFENSE INDUSTRIAL BASE FACILITIES (RDIBF) PROJECT SUBMISSIONS.

Ref: (a) 10 U.S. Code § 2805 Unspecified Minor Construction
(b) DON Guidance for Exercising Unspecified Minor Construction Authorities in Section 2805 of Title 10, United States Code
(c) 10 U.S. Code § 2208 Working-capital Funds
(d) NAVFAC BMS 11-9 MILCON Unspecified Minor Construction (UMC) Project via CNIC dated November 21, 2021
(e) ASD EI&E Memorandum dated June 16, 2017
(f) OPNAV N4 Memorandum dated 22 March 2017
(g) ASN EI&E Memorandum dated January 12, 2017

Encl:
(1) UMC Selection Process
(2) Sample Mitigation Plan and Cost Risk Statement

1. Unspecified Minor Military Construction (UMC). Per reference (a) and (b), a UMC project is a Military Construction (MILCON) project that has an approved cost greater than $4M and less than or equal to $9M ($14M with Area Cost Factor (ACF) adjustment; see paragraph 3 below for proper ACF application).

a. Project Development

(1) Public Works Department (PWD) Planners develop construction projects to meet facility requirements. If a project is determined to be over the Operations and Maintenance, Navy (OMN) minor construction limit ($4M) but under the adjusted UMC limit ($9M, not to exceed $14M), the project can be a candidate for UMC funding and should follow the outline in reference (c). Note that the ACF adjustment described in paragraph 3 below also applies to the $4M minor construction threshold, which shall be leveraged to provide additional buying power using OMN where applicable.

(2) In order to easily identify UMC projects, all UMC projects shall utilize the letter U as a suffix to the project number (i.e. P123U).

(3) All UMC projects shall seek to leverage a Design Build strategy where applicable. Projects with a compelling reason (e.g., complexity, costs, scope, etc.) to employ a Design Bid Build strategy shall highlight such during the brief to the Shore Mission

Integration Group (SMIG) Working Group (WG) to ensure sufficient UMC Planning and Design (P&D) funds are programmed.

(4) Installation leadership determines which UMC qualified projects will be submitted to the Region for consideration during the Region Mission Integration Group (RMIG). The RMIG consolidates and prioritizes its Integrated Priority List (IPL) for consideration and final selection by the annual SMIG WG UMC Board. Submitted projects must be reviewed to ensure they cannot be performed with OMN due to dollar thresholds or performed under the repair or conversion authority (references e-g).

(5) For those projects being forwarded to the Region, the Installation shall link the INSTL/PWD_FINAL (cycle "UMC", FY=Budget Fiscal Year 2025) DD-1391 in the Electronic Project Generator (EPG) to the IPL module. Military Construction, Naval Reserve (MCNR) UMC candidates shall be linked in the IPL as well. The Current Working Estimate (CWE) must take into account all anticipated costs (e.g., use of Design Build or Small Business Acquisition tools). The following contingency structure shall be used for UMC 1391's:

- 20% when linked and submitted in IPL
- 10% when ready/selected for FDA
- 10% when submitted with 2805 Notification Package

(6) Regions shall use Decision Lens Web (DLW) to assess projects. IPL management should mirror DLW assessment by the Regional Engineer (RE) staff as outlined in Addendum 2, reference (i). Priorities generated by DLW are a tool. Regional Commanders may deviate from DLW with final priorities being recorded in the IPL.

(7) Regions will brief projects from the Project Data Sheets (PDS) generated from the IPL. Up to six (6) phots can be added to the PDS via the Document Management Tool within the IPL. The singed INSTL/PWD_FINAL DD-1391 shall be submitted in EPG prior to submission. UMC projects verified as being resourced by OPNAV N9 do not need to be briefed; however, they will be scored by the SMIG Working Group.

(8) Projects previously approved for UMC funding that are not executed within a reasonable timeframe (normally two years) will not be held indefinitely within the UMC program. Upon notification from CNIC N46, these projects will be required to re-compete for future funding; re-submission will count against a Region's quota.

(9) Changes in one project will not be allowed to impact other projects within the UMC program. Potential changes that may result in a project being removed from the UMC program include:

- CWE crosses UMC threshold prior to award; projects will not be held with the assumption that there may be a change to the ACF or UMC authorization.
- Substantial scope or cost growth (normally 25%) beyond the SMIG submission, even if the result remains below the UMC threshold.

(10) ARE staffs shall review briefing materials and DD-1391s for accuracy and completeness prior to submission of their IPL. All UMC requirements are required to be prioritized, regardless of whether they are being briefed. This allows CNIC to maintain a valid list of requirements to justify the level of funding in the out-years.

(11) The previous FY's ACF must be used when calculating the revised threshold for award. Since no table has been issued for FY23, all projects shall use the current ACF adjustment table (Jul 2022 UFC-3-701-01-2022-c1). As a reminder, ACF only applies to CONUS projects.

(12) Projects that are within $500K of the UMC threshold (ACF adjusted, if applicable) shall include a cost mitigation statement at time of briefing. If selected for funding, and when the project is submitted for 2805 Notification, Region shall prepare a Mitigation Plan and Cost Risk Statement document, (enclosure (2)), to be included in the notification package. A project may still be rejected if CNIC feels there is a high risk for cost growth likely to exceed the threshold post-award.

b. Project Selection

(1) The SMIG WG UMC Board is held annually in February. This board will be used to review and approve projects for the following FY in accordance with the process outlined in enclosure (1). Regions will brief their top priorities based on the limits provided in Table 1 below. The following are exempt from Region limits: the Region's top MCNR UMC project; projects selected for Final Design Authority (FDA) during the FY24 UMC Board; and project briefs requested by the SMIG WG. Projects that were selected for FY24 funding, but not funded due to funding constraints, do not need to be re-briefed. These projects will be placed at the top of the FY25 approved list. The SMIG WG assesses and prioritizes projects briefed by the Regions using the approved SMIG assessment criteria and DLW model.

Region	CNR EURAFSWA	CNR HI	CNR JA	CNR MA	CNR NDW	CNR NW	CNR SW	CNR SE	JRM
No. Projs	2	2	2	4	2	2	4	4	2

Table 1

(2) The SMIG WG uses the UMC prioritization list to determine how many projects can be funded within the Total Obligation Authority (TOA) for the FY and recommends those projects for execution. The SMIG WG may also recommend additional projects for FDA should additional funds become available.

(3) CNIC N46 distributes the results upon completion of the UMC board. This distribution also outlines all expected dates for DD-1391 development and final submission to CNIC. Please reference Table 2 below for tentative dates.

Action	Due
CNIC Post Region DL Portfolio's	**13-Oct-23**
Installation Link UMC to IPL	**Refer to Region Guidance**
Enterprise/COCOM/NCC Coordination with Regions	**Refer to Region Guidance**
Regions Submit Completed Project Assessments in DL/IPL to CNIC	**9-Feb-24**
Region Backup Data Loaded/Attached in EPG or Sent to CNIC	**9-Feb-24**
Region Briefs to WG / WG Initial Assessment	**20-Feb-24**
Final Project List to Regions/NAVFACHQ DC	**15-Mar-24**
NAVFACHQ DC Issues FDA	**5-Apr-24**
Region Submits Program Final 1391's in EPG	**29-Nov-24**
2805 Notificaiton Package to Congress	**17-Jan-25**
Project Award	**18-Jul-25**

Table 2

(4) For projects recommended for execution, Regions are required to submit in EPG a Region Valid Final DD-1391 within three (3) weeks. Projects are expected to be at Budget PRI with completed advanced planning. Preliminary Design Authority (PDA) is not required for UMCs and will not be issued. FDA provides the deliverable DD-1391 required for Congressional Notification of UMC projects. See Addendum 2 for details on the new PRI structure.

(5) NAVFAC HQ DC issues FDA for projects recommended by the SMIG WG. NAVFAC HQ DC and the Region PM should immediately be notified if, at any time during FDA, it appears the cost will exceed the UMC threshold or problems emerge which could prevent Budget

Year execution. The Region and NAVFAC HQ DC shall work with the CNIC UMC Headquarters Program Director to find resolution including reducing scope, stopping design, or shifting the project to the MCON program.

c. Project Execution

(1) A DD-1391 submitted to status level Program Final and all supporting documentation (e.g., environmental, site approval and equipment list) is required in EPG. Program Final DD-1391's represents budget level scope, schedule an cost reflecting, at a minimum, a Class 3 parametric cost estimate and should include the 4% design-build fee.

(2) NAVFAC HQ MILCON PM validates accuracy and quality assurance of the Program Final DD-1391 in accordance with CRB guidelines, and submits it to status level Budget Final DD-1391. CNIC N46 requests the RE signature on Budget Final DD-1391 for inclusion in the Congressional Notification Package.

(3) Award of UMC projects is expected in the FY they are approved. In the event that additional funds are required (during design or execution), Regions shall apprise CNIC N46 as soon as it is known and confirm approval to proceed. If a project requires cancellation or is anticipated to exceed the UMC threshold, the RE shall provide an email to CNIC N4, with a copy to CNIC N46, indicating the rationale.

d. Out of Cycle Submissions. For emergent requirements, Regions may submit a valid MCON or MCNR UMC candidate, including briefing slide and DD-1391, at any time without waiting for the annual SMIG WG UMC Board. Regions shall advise CNIC N46 of the emergent requirement as soon as it is known.

2. Laboratory Revitalization Program (LRP) and Revitalize Defense Industrial Base Facilities (RDIBF). LRP projects construct facilities in direct support of a specified naval laboratories, to include research, engineering, and development centers as well as test and evaluation activities. Similarly, RDIBF projects construct facilities in direct support of Department of Defense depot, arsenal, shipyard, or plant facilities located within the United States.

a. Project Funding

(1) LRP projects are funded using the maintenance funds for a lab facility derived from Research, Development, Test and Evaluation (RDT&E), Navy Working Capital Funds (NWCF), OMN, or from

established customer fees approved and made available under 10 USC § 2363. The FY23 National Defense Authorization Act (NDAA) increased the LRP project threshold to $9M, not to exceed $14 with an ACF adjustment, and extended the program to 2025. See Paragraph 3 below for clarification.

(2) RDIBF projects are funded with Working Capital Funds and executed utilizing 10 USC § 2805 procedures and guidance as prescribed by 10 USC § 2208. The RDIBF threshold is $9M plus ACF. This program expires September 30, 2025.

b. Project Development

(1) LRP and RDIBF project documentation must be standalone, complete, and usable. Projects normally include a new footprint component with or without non-severable repair work.

(2) Projects that qualify under the new conversion authority will not typically be approved as an LRP or RDIBF. Note that approval paperwork for SRM funded repair is higher at $7M.

(3) Severable SRM funded work, whether new footprint or repair, shall not be submitted together with the LRP or RDIBF approval package (i.e., they should not be mixed or combined into one project for reporting purposes to Congress, even if the intent is to contract together). When applicable, submit a separate package and alert CNIC N46 accordingly.

(4) All LRP and RDIBF requests are to be submitted to CNIC via a letterhead request from the requesting activity via their respective PWD and ARE Office. The letterhead request shall be endorsed by the Installation Commanding Officer and RE prior to submission to CNIC for approval. The letter must state which funds will be used for the project.

(5) A RE signed Region Valid DD-1391 is required to be submitted to CNIC N46. RE signature is required either in EPG or by ink on the DD-1391 and cannot be delegated below the RE. The RE is certifying that the DD-1391 is complete and all supporting documentation (e.g., environmental documentation, site approval) is attached in EPG.

(6) The project request and supporting information shall be submitted using the approved templates to CNIC via a newly designed MS Teams Page. Additional guidance will be provided when the page is functional.

(7) LRP and RDIBF projects require written CNIC Authority

to Advertise as well as Authority to Award. Since packages typically take 6-8 weeks to clear CNIC, OPNAV, and ASN staffing, plus require a 14-day Congressional notification period, projects targeted for EOY award should be submitted NLT May 31st each year. Earlier submission is highly encouraged.

3. Overarching UMC, LRP, and RDIBF Guidance

a. Area Cost Factor Adjustment

(1) UMCs, LRPs, and RDIBFs have a $9M upper threshold (not to exceed $14M after ACF). Adjustments for locations apply to projects in the United States and its territories only (i.e., ACFs do not apply to Europe, Japan, etc.).

(2) Adjusted thresholds shall be calculated using the prior FY's ACF for each location as published in the Unified Facilities Criteria (UFC) 3-701-01, DoD Facility Pricing Guide.

(3) Adjustments for any given UMC, LRP, or RDIBF project shall only be made for those locations where the DoD ACF has a value greater than 1.0. The ACF adjustment is capped at $14M.

(a) Example 1 – a project in Guam would have an adjusted limit of $14M ($9.0M x 2.57 (ACF) = $23.13M).

(b) Example 2 – a project in Mayport, FL, would retain a limit of $9M ($9.0M x 0.87 (ACF) = $7.83M).

(c) Example 3 – a project in Patuxent River, MD, would have an adjusted limit of $9.54M ($9.0M x 1.06 (ACF) = $9.54M).

b. Mitigating Risk of Exceeding Threshold Limitations

(1) UMC, LRP, and RDIBF projects should use a 20% contingency factor.

(2) UMC, LRP, and RDIBF projects should target a cost of at least $500K under the final adjusted threshold to mitigate the risk of exceeding fiscal constraints.

(3) Regions may submit projects outside the CNIC-imposed contingency rate and funding threshold with supporting documentation to defend the current working estimate and scope. The supporting documentation must also detail mitigation statement (enclosure 2) to ensure a successful award (e.g., separate the scope into a based bid with options). Final approval for projects with estimates within

$500K of the threshold may be held until after the receipt of bids.

c. Required Information. In order to meet the requirements of OPNAV and ASN approvers, the following information must clearly be identified within the project packages:

(1) DD1391s must include identify if the construction site is within the 100-year flood plain. If within the flood plain, the following statement must be included "This project falls <within/partially within> a flood hazard area representing <Summary description of the defining flood event or cause>. This is a <non-mission essential/mission essential> facility. The design flood elevation is approximately <XXX.X> feet above the existing site elevation at its lowest point. This flood risk will be mitigated as described in the description of construction." A map of the flood plain shall be included with the project package.

(2) DD1391s must address the Randolph-Shepard Act.

(3) DD1391s must include cyber-commissioning as a separate line item.

(4) Projects should seek to produce a net reduction in administrative space. Projects constructing new administrative space should identify any corresponding reduction in administrative space in other facilities or the elimination of leased administrative space. If a net reduction is not possible, justification for the growth in administrative space must be provided. Justification should include what changes in mission are driving the increase in administrative space, and should include where the billets requiring additional administrative space are currently located.

4. Point of Contact. CNIC point of contact regarding this matter is Ms. Maureen Estruch, DSN 288-4429, commercial (202)433-4429, or e-mail maureen.a.estruch.civ@us.navy.mil.

UMC Selection Process

SMIG Process for Prioritizing Requirements

Lead Proponent Priorities

Installation Priorities

COCOM Priorities

Region Priorities

Regions Brief Requirements to SMIG WG (February)

Strategic Alignment & Guiding Principles (62.42%)	**Strategic Alignment & Guiding Principles**	**0.6242**
	Mission Alignment	0.6363
	Readiness Support	0.2824
	Operational Cost	0.0813
Installation Figure of Merit (IFOM) (8.49%)	**Installation Figure of Merit**	**0.0849**
	Capacity	0.4851
	Condition	0.3436
	Configuration	0.1713
Risk Assessment (29.09%)	**Risk Assessment**	**0.2909**
	Severity	0.2909

SMIG WG Scores, Adjudicates and Selects Projects for Funding and/or FDA Only (March)

PNO	Title	Location	WG Rank	WG DL Score	CWE ($000)	
P112U	Military Working Dog Kennels	NASSIGONELLA IT	1	0.889	$5,990	Funding
P1303U	Dredge Uma Wharf	NAVBASE GUAM	2	0.871	$9,060	
P602U	MSRON TWO Combatant Craft Maintenane Facility	JNTFXPBASE LITTLE CREEK FS VA	3	0.861	$4,750	
P830U	MWD Kennel Replacement	NAVALBASE KITSAP BREMERTON WA (BANGOR)	4	0.842	$6,100	
P602U	Armory Expansion	SUBASE KINGS BAY GA	5	0.832	$5,960	
P040U	Communication Tie-In for Tel Bch Bldg 368B (C21)	COMFLEACT YOKOSUKA JA	6	0.828	$5,400	
P501U	Modernize Instrument Landing System Infrastructure	NASSIGONELLA IT	7	0.812	$3,840	
P1124U	Radiological Emergency Response Facility	NIS PORTSMOUTH NAVY SHIPYARD	8	0.811	$5,960	
P901U	Integrated Training Facility	NAVBASE CORONADO SAN DIEGO CA (SAN CLEMENTE IS)	9	0.811	$6,470	
P203U	Correct Passenger Terminal Life-Safety Deficiencies	NAVSUPFACT BAHRAIN (NSA II)	10	0.804	$4,720	FDA Only
P212U	B417 Annex Hyperbaric Treatment facility	JBPHH PEARL HARBOR HI	11	0.803	$9,400	
P321U	Water and Electrical Systems	NAF EL CENTRO CA (NAVOBSERVA FLAGSTAFF AZ)	12	0.777	$5,400	
P518U	Operational Equipment Storing Facility	COMFLEACT OKINAWA JA	13	0.756	$5,400	
P518U	ATFP Access Control Point	NAVSUPFACT MONTEREY CA (NAVY ANNEX)	14	0.735	$6,050	

WG Authorizes NAVFACHQ DC to Issue FDA

Unclassified 1

MITIGATION PLAN AND COST RISK STATEMENT

Title:
Unspecified Minor Construction (UMC) Project P098U, CMV-22B Operational Training Facility

Background:
The UMC threshold for Iwakuni, Japan is $6M.
The DD1391 total cost estimate for P098U is $5.95M.
Estimated project costs are within 99.2% of the threshold and has 10% contingency.

Mitigation Plan:
In order to increase the probability of awarding P098U beneath the UMC threshold, the project's internal government estimate (IGE) has been divided into a base with 8 options:

	Option	Trade	Est. Cost	Impact
1	New Concrete Ramp and Pad	Civil	$43,504	One time-use to get trainer equipment in. Can use temporary ramp. No impact on functionality of the trainer.
2	Enclosure Fence	Civil	$31,048	Enclosure fence for the transformer and HVAC equipment is at the request of utilities. No impact to functionality of the trainer.
3	Epoxy Floor Coating	Arch	$21,418	Dust protection. No impact to functionality of the trainer.
4	Interior Painting of Simulator Bay	Arch	$12,294	Dust protection. No impact to functionality of the trainer.
5	Sustainability Reporting	Arch	$71,757	Satisfy UFC-1-200-02. No impact to functionality of the trainer.
6	10-Month Warranty & Occupancy Phase for Commissioning (Post-occupancy)	Mech	$39,137	Partial scope of commissioning for post occupancy. No impact to functionality of the trainer.
7	TAB - 2 seasons	Mech	$16,997	Partial scope of HVAC Testing and Balancing (TAB). No impact to functionality of the trainer.
8	AMI panel board	Elec	$35,606	Advance Metering Infrastructure (AMI) panel board for future connection. Currently, no base-wide AMI infrastructure. No impact to functionality of trainer.

The project is complete and usable without the options.

Cost Risk:
- Base: $4,676,039 (ECC cost)
- Base (with 6.5% SIOH and 10% Contingency): $5,477,980
- Total Options: $271,761

The fully burden cost, accounting for contingency and supervision, inspection, and overhead (SIOH), for the base alone is $5.5M which is 92% of the threshold. Options will be awarded as able based on the value of the winning proposal. The cost estimate has been generated by an in-house NAVFAC estimator using in-country prices yielding a high degree of confidence.

Mission Impact:
OPNAV N98 validated the mitigation plan as having no operational impact to mission. The bid options as addressed are not required.